AIRLINE INCENTIVE AND ROUTE DEVELOPMENT POLICY

General International Airport (fictional)

Document no.	GIA-POL-02	**Version**	3.1
Status	APPROVED	**Classification**	Internal
Effective	1 July 2025	**Next review**	1 July 2027
Owner	Director, Commercial	**Approved by**	Commercial Committee (decision CC-2025-014, 20 June 2025)
Supersedes	Airline Incentive Policy v3.0		

This is a fictional document created for training purposes.

Section 1. Objective

1.1 The airport grows passenger numbers by supporting airlines that add destinations or add frequency on routes where demand already exceeds capacity.

1.2 The policy also protects service quality: incentives depend on punctuality.

Section 2. Priority growth routes

2.1 A route is a priority growth route when its average load factor is 90 percent or higher over a rolling 3 months and it has fewer than 7 weekly departures.

2.2 Load factor is calculated across all operated flights on the route, both directions, excluding cancelled flights.

2.3 The Commercial team publishes the list of priority growth routes every quarter.

Section 3. Incentives

3.1 Added frequency on a priority growth route: 50 percent discount on landing charges for the added flights, for 12 months.

3.2 A new destination not served before: 75 percent discount on landing charges in year one, 50 percent in year two and 25 percent in year three.

3.3 Marketing support of up to AED 150,000 is available for a new destination, matched by the airline.

3.4 Standard rebate scheme: every airline that is a scheme member receives a rebate of 5 percent of its monthly landing charges.

Section 4. Conditions

4.1 To receive or keep any incentive, including the standard rebate, the airline must have no more than 30 percent of its flights delayed in a month, where delayed means more than 15 minutes late.

4.2 An airline that exceeds this limit loses all incentives for the following month. For 3 consecutive months of breach the incentive agreement is suspended.

4.3 Before releasing each monthly rebate, Finance must check the punctuality report published under the Delay Management SOP (GIA-SOP-04).

4.4 Incentives are reviewed annually by the Commercial Committee.

Section 5. Process

5.1 An airline applies for an incentive in writing to the Commercial team, with the proposed schedule and aircraft type.

5.2 The Commercial Committee decides within 30 days of a complete application.

5.3 Finance maintains the airline incentive ledger and reports withheld and paid amounts each quarter.